

Commercial Real Estate Market Insights

May 2024 Commercial Real Estate Market Insights



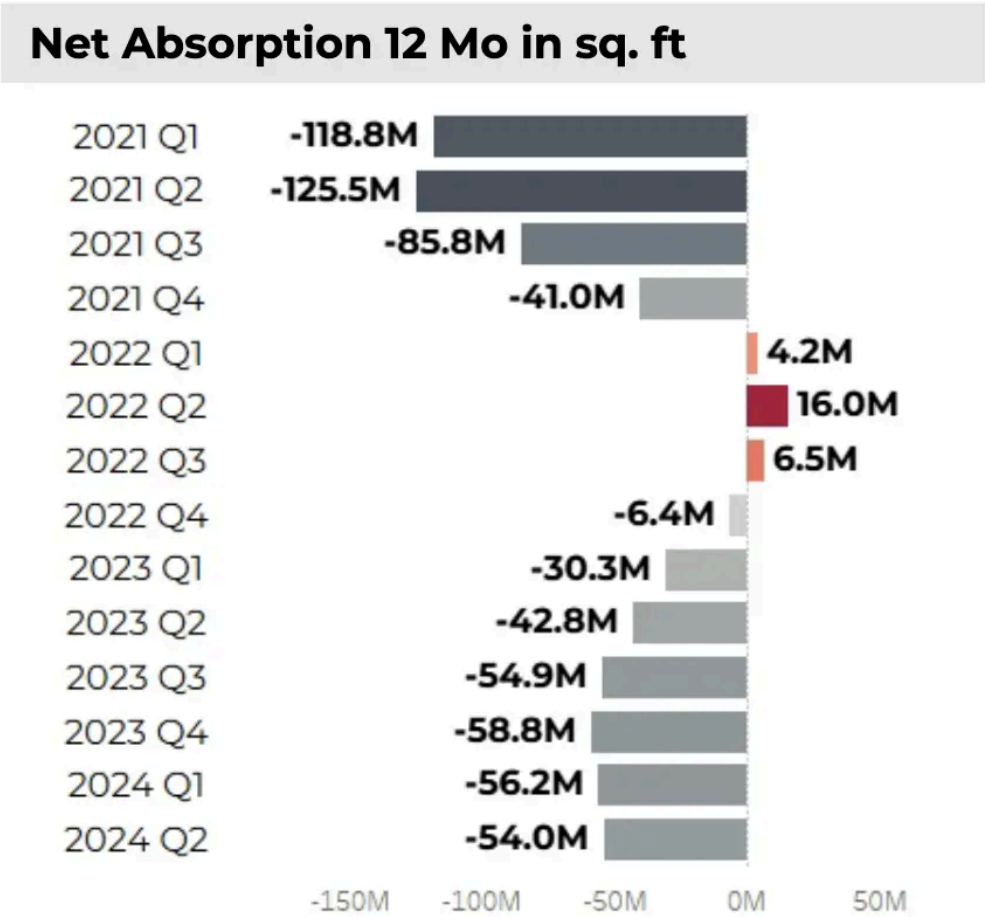
The commercial real estate (CRE) market entered the second quarter of the year with persistently rising vacancy rates and slowing rent growth across most market sectors. Specifically, the office vacancy rate reached new record highs, approaching nearly 14%, while fundamentals in retail and industrial sectors decelerated. High interest rates and the effects of hybrid work on office spaces are the main factors that continue to hamper this sector. In the meantime, the U.S. economy started to slow down after previously exceeding expectations, reflecting the impact of inflation pressures on consumers.

Office Properties

At the beginning of the year's second quarter, fewer additional office spaces were vacated than occupied for the first time since the end of 2022. Even though net absorption remains negative with more vacated than occupied office spaces, this is the first time the gap between vacated and occupied office spaces has narrowed. However, the vacancy rate rose even further to 13.8% in April 2024. Looking ahead, the forecast suggests a persistent increase in available office spaces. Leasing activity, which helps to gauge the level of demand and interest from potential tenants, is about 30 percentage points below the pre-pandemic levels.



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Multifamily Properties

On the other hand, high mortgage rates, hovering around 7%, continue to keep strong demand for apartment buildings. The multifamily sector not only rebounded from the lows it experienced last year, but net absorption is more than double that of the same period a year ago. This translates to more than twice of the additional occupied rental units than vacated compared to last April. Nevertheless, even with this strong demand, the vacancy rate remained at 7.8%. This is mainly due to the influx of new rental housing supply entering the

market after the record highs in apartment construction over the past couple of years. The completion of these additional rental units has absorbed the higher demand and prevented vacancy rates from easing.

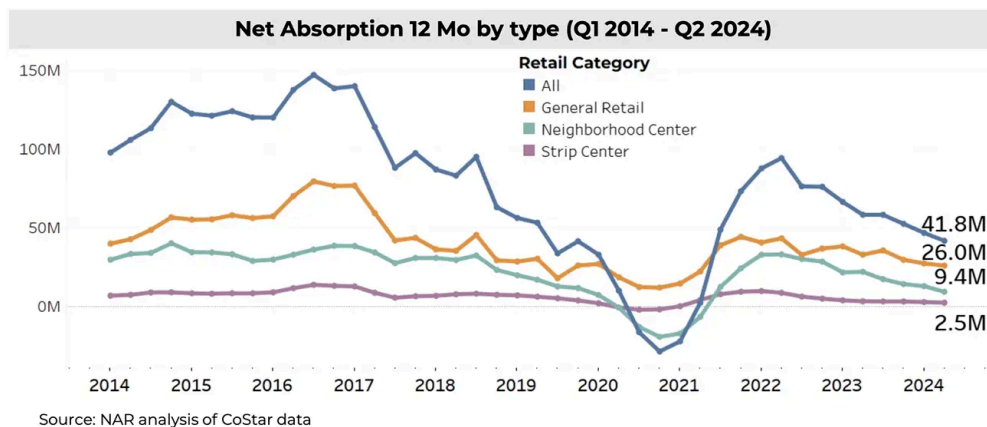
Top 10 areas with the strongest 12-month absorption

	2024 Q2	2023 Q2
New York, NY	19,046	20,040
Dallas-Fort Worth, TX	17,805	5,236
Phoenix, AZ	12,951	6,529
Washington, DC	12,686	7,634
Houston, TX	11,884	4,937
Atlanta, GA	11,741	348
Austin, TX	11,215	7,516
Chicago, IL	10,054	6,930
Nashville, TN	9,359	4,447
Minneapolis, MN	9,308	7,188

Source: NAR analysis of CoStar data

Retail Properties

Demand for retail spaces remained below the pre-pandemic levels as net absorption slowed further in April. Compared to a year ago, net absorption is significantly lower by approximately 30 percentage points. However, the limited availability of retail spaces keeps vacancy rates low, hovering around 4%, the lowest rate among any other sector in the commercial real estate market. With new construction deliveries likely to diminish even further, the fundamentals of this sector are expected to remain solid in 2024.



Industrial Properties

The industrial sector couldn't escape the impact, with demand for industrial spaces also decelerating. Net absorption has dropped to levels not seen in over a decade. After reaching record-high levels at the end of 2021 and the beginning of 2022, fueled by the need for warehouse spaces to accommodate online shopping and e-commerce demands, net absorption is 63% lower than

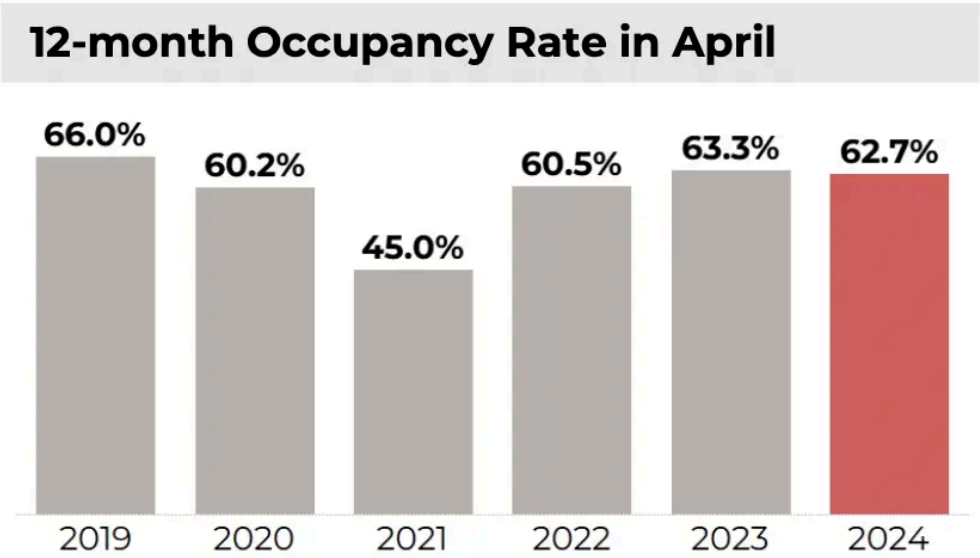
a year ago and 52% below the pre-pandemic average level. However, this sector continues to experience the fastest rent growth compared to any other sector in the commercial real estate market. Specifically, rents for industrial spaces are 4.7% higher than a year ago. The outlook for the industrial real estate market remains positive, driven by factors such as the lasting impact of e-commerce and robust construction spending.

Top 10 areas with the strongest 12-month absorption

	2024 Q2	2023 Q2
Dallas-Fort Worth, TX	24.24M	38.78M
Houston, TX	17.33M	25.26M
Phoenix, AZ	11.82M	18.08M
Chicago, IL	11.27M	25.55M
Nashville, TN	8.07M	6.88M
Savannah, GA	6.92M	11.39M
Austin, TX	6.83M	5.05M
Philadelphia, PA	5.61M	7.87M
Detroit, MI	5.52M	6.67M
Atlanta, GA	5.33M	11.16M

Hotel Properties

As we move further into 2024, the hospitality industry is showing improvement. Hotel occupancy rates have stabilized around 63%, which is still about 3% below pre-pandemic levels. This suggests that full recovery may be elusive due to the rise of remote work tools like Zoom. However, average daily rates (ADR) and revenue per available room (RevPAR) now surpass pre-pandemic levels.



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